



CREDIT SPREAD

MASTER RULEBOOK

Call Credit Spread & Put Credit Spread

DEFINED RISK

HIGH PROBABILITY

THETA DECAY

LOW MARGIN

STRUCTURED EXITS

A complete professional framework for options traders — strike selection, decision trees, trade management & execution checklists.

#ThetaGainers | Options Strategies Series

SECTION	CONTENT
01	Foundation — What is a Credit Spread?
02	Master Decision Tree — Market Bias
03	Credit CALL Spread — Full Rulebook
04	Credit PUT Spread — Full Rulebook
05	IV Rules, Expiry Guidelines & Golden Rules
06	Complete Execution Checklist

FOUNDATION — WHAT IS A CREDIT SPREAD?

Definition

A Credit Spread is an options-selling strategy where you **sell one option** and simultaneously **buy another farther out-of-the-money (OTM) option** of the same type and expiry. You receive net premium (credit) upfront from day one.

COMPONENT	ACTION	PURPOSE
Sell Option	Nearer to market (higher premium)	Generate credit income
Buy Option	Farther OTM (lower premium)	Cap maximum loss
Net Credit	Sell premium - Buy premium	Your maximum profit
Max Loss	Spread width - Net credit	Defined & capped risk

Core Benefits

DEFINED RISK	Maximum loss is known before entry — no account blow-up.
LOW MARGIN	Far lower capital requirement vs naked option selling.
HIGH PROB.	~75% probability of profit vs ~47% for debit spreads.
THETA DECAY	Time decay works in your favor every day.

Types at a Glance

SPREAD TYPE	MARKET BIAS	SELL	BUY HEDGE	PROFIT WHEN
Credit CALL Spread	Bearish / Neutral	Near-market CALL	Higher Strike CALL	Market stays BELOW sold strike
Credit PUT Spread	Bullish / Neutral	Near-market PUT	Lower Strike PUT	Market stays ABOVE sold strike

Key Formula

MAX PROFIT	= Net Credit Received x Lot Size
MAX LOSS	= (Spread Width - Net Credit) x Lot Size
BREAK EVEN	Call Spread: Sold Strike + Net Credit Put Spread: Sold Strike - Net Credit

MASTER DECISION TREE — MARKET BIAS

START: Assess Market Condition

Is market **STRONGLY BEARISH**?

YES -> Use Credit CALL Spread

NO -> Continue below

Is market **STRONGLY BULLISH**?

YES -> Use Credit PUT Spread

NO -> Continue below

Is market **SIDEWAYS** with **RESISTANCE HOLDING**?

YES -> Use Credit CALL Spread

NO -> Continue below

Is market **SIDEWAYS** with **SUPPORT HOLDING**?

YES -> Use Credit PUT Spread

NO -> Continue below

Is **IMPLIED VOLATILITY (IV)** extremely **LOW**?

YES -> **AVOID** credit spreads – premium too thin

NO -> Proceed with chosen spread

Is the trend **UNCLEAR** or **CHOPPY**?

YES -> Wait for clarity – no trade

NO -> Execute chosen spread with rules below

Pre-Trade Confirmation Checklist

CHECK	REQUIREMENT	PASS?
Market Bias	Clear directional view (bull/bear/neutral)	■
IV Level	Moderate to High IV — not extremely low	■
Chart Level	Clear support or resistance identified	■
Expiry	Weekly preferred; monthly for swing	■
Position Size	Risk $\leq$ 1-2% of total capital	■
Exit Plan	SL level and profit target defined before entry	■

CREDIT CALL SPREAD — COMPLETE RULEBOOK

BEARISH BIAS

SELL CALL

BUY HIGHER CALL

COLLECT PREMIUM

PROFIT BELOW
SOLD STRIKE

When to Use — Entry Conditions

CONDITION	SIGNAL	CONFIDENCE
Market below resistance	Price rejected from overhead level	HIGH
Lower highs forming	Bearish price structure	HIGH
Momentum weakening	RSI divergence / weak candles	MEDIUM
Sideways near resistance	Market consolidating at top	MEDIUM
Post news bearish sentiment	Gap down or selling pressure	HIGH

Strike Selection Rules

METHOD	SELL STRIKE (SHORT LEG)	BUY STRIKE (LONG LEG)	IDEAL FOR	RISK LEVEL
Conservative	0.15-0.20 Delta / At resistance	100-200 pts above sold	Weekly income, beginners	LOW
Moderate	0.20-0.25 Delta / Near resistance	100-150 pts above sold	Regular traders	MEDIUM
Aggressive	0.25-0.35 Delta / Slightly OTM	50-100 pts above sold	Experienced traders	HIGH

Strike Selection Decision Tree

IDENTIFY RESISTANCE ZONE

Is resistance STRONG (multiple touches)?
YES -> Sell AT or just BELOW resistance strike
NO -> Sell 1 strike ABOVE resistance (safer)

Is IV HIGH (above 20-25)?
YES -> Wider spreads allowed (200 pts gap)
NO -> Tighter spreads (100-150 pts gap)

Is expiry WEEKLY?
YES -> Sell 100-200 pts OTM from current price
NO -> Sell 200-300 pts OTM (monthly)

BUY HEDGE: Always 100-200 pts above sold strike
Smaller gap = Less loss | Larger gap = More premium

Step-by-Step Trade Creation — NIFTY Example

STEP	ACTION	EXAMPLE
1	Check market bias — confirm bearish view	NIFTY at 24,000 — resistance at 24,200

2	Identify resistance zone using chart	Swing high / previous resistance = 24,200
3	SELL the resistance strike CALL	Sell 24,200 CE — Premium received = Rs.120
4	BUY a higher strike CALL as hedge	Buy 24,400 CE — Premium paid = Rs.50
5	Calculate Net Credit	Rs.120 - Rs.50 = Rs.70 net credit
6	Calculate Max Loss	(24,400-24,200) - 70 = 130 pts x lot size
7	Set Stop Loss	Exit if net premium exceeds Rs.105 (1.5x credit)
8	Set Profit Target	Exit at 50-70% premium decay (Rs.35-49 left)
9	Monitor till expiry or target	Stay in trade while NIFTY < 24,200

Trade Management Rules

RULE	CONDITION	ACTION
PROFIT RULE 1	Premium decays 50% of credit received	Exit full position — lock profit
PROFIT RULE 2	Premium decays 70-80%	Exit remaining position — avoid gamma risk
PROFIT RULE 3	2-3 days before expiry	Close position — theta/gamma risk high
LOSS RULE 1	Net premium = 1.5x credit received	Exit immediately — do not average
LOSS RULE 2	15-min candle CLOSES above sold strike	Defensive action — exit or roll
LOSS RULE 3	Structure breaks — trend turns bullish	Exit without hesitation
ADJUSTMENT 1	Slow drift toward sold strike	Roll spread 1-2 strikes higher
ADJUSTMENT 2	Violent breakout above resistance	Exit immediately — no adjustment

CREDIT PUT SPREAD — COMPLETE RULEBOOK

BULLISH BIAS

SELL PUT

BUY LOWER PUT

COLLECT PREMIUM

PROFIT ABOVE
SOLD STRIKE

When to Use — Entry Conditions

CONDITION	SIGNAL	CONFIDENCE
Market above support	Price bouncing from support zone	HIGH
Higher lows forming	Bullish price structure intact	HIGH
Strong buying activity	Volume spike at support	HIGH
Sideways above support	Consolidation near bottom	MEDIUM
Post news bullish sentiment	Gap up or strong buying candles	HIGH

Strike Selection Rules

METHOD	SELL STRIKE (SHORT LEG)	BUY STRIKE (LONG LEG)	IDEAL FOR	RISK LEVEL
Conservative	0.15-0.20 Delta / At support	100-200 pts below sold	Weekly income, beginners	LOW
Moderate	0.20-0.25 Delta / Near support	100-150 pts below sold	Regular traders	MEDIUM
Aggressive	0.25-0.35 Delta / Slightly OTM	50-100 pts below sold	Experienced traders	HIGH

Strike Selection Decision Tree

IDENTIFY SUPPORT ZONE

Is support STRONG (multiple bounces)?

YES -> Sell AT or just ABOVE support strike

NO -> Sell 1 strike BELOW support (safer)

Is bullish trend CONFIRMED?

YES -> Sell closer to market (higher premium)

NO -> Sell farther OTM (safer, less premium)

Is IV HIGH?

YES -> Wider spreads allowed (200 pts gap)

NO -> Tighter spreads (100-150 pts gap)

BUY HEDGE: Always 100-200 pts below sold strike

Smaller gap = Less loss | Larger gap = More premium

Step-by-Step Trade Creation — NIFTY Example

STEP	ACTION	EXAMPLE
1	Check market bias — confirm bullish view	NIFTY at 24,000 — support at 23,800

2	Identify support zone using chart	Swing low / previous support = 23,800
3	SELL the support strike PUT	Sell 23,800 PE — Premium received = Rs.110
4	BUY a lower strike PUT as hedge	Buy 23,600 PE — Premium paid = Rs.45
5	Calculate Net Credit	Rs.110 - Rs.45 = Rs.65 net credit
6	Calculate Max Loss	(23,800-23,600) - 65 = 135 pts x lot size
7	Set Stop Loss	Exit if net premium exceeds Rs.97 (1.5x credit)
8	Set Profit Target	Exit at 50-70% premium decay (Rs.32-45 left)
9	Monitor till expiry or target	Stay in trade while NIFTY > 23,800

Trade Management Rules

RULE	CONDITION	ACTION
PROFIT RULE 1	Premium decays 50% of credit received	Exit full position — lock profit
PROFIT RULE 2	Premium decays 70-80%	Exit remaining — avoid gamma risk near expiry
PROFIT RULE 3	2-3 days before expiry	Close position — manage gamma exposure
LOSS RULE 1	Net premium = 1.5x credit received	Exit immediately — no averaging down
LOSS RULE 2	15-min candle CLOSES below sold strike	Defensive action — exit or roll down
LOSS RULE 3	Structure breaks — lower lows begin	Exit without hesitation
ADJUSTMENT 1	Slow drift toward sold strike	Roll spread 1-2 strikes lower
ADJUSTMENT 2	Violent crash below support	Exit immediately — no adjustment

IV RULES, EXPIRY GUIDELINES & GOLDEN RULES

Implied Volatility (IV) Guidelines

IV CONDITION	ACTION	SPREAD SIZE	REASON
Very High IV (>30)	BEST — enter credit spreads	Wider spreads OK	Rich premiums collected
High IV (20-30)	Good — proceed normally	Standard width	Good premium available
Moderate IV (15-20)	Acceptable — be selective	Tighter spreads	Average premium
Low IV (<15)	AVOID credit spreads	Do not enter	Premium too thin to cover risk
IV Expanding (rising)	Reduce position size	Smaller size	Spreads can lose value fast
IV Crush expected	Strongly favour spreads	Normal-wider	Premium collapses in your favour

Expiry Type Guidelines

EXPIRY	RECOMMENDED?	IDEAL USE	TIME DECAY SPEED
Weekly (0-7 DTE)	BEST for credit spreads	Theta income strategy	FASTEST
Monthly (15-30 DTE)	Good for swing positions	Directional + theta hybrid	MODERATE
Same day expiry	Advanced traders only	Intraday premium collection	EXTREME
Next week (8-14 DTE)	Good balance	Moderate risk setups	FAST

Credit Spread vs Naked Selling Comparison

METRIC	NAKED SELLING	CREDIT SPREAD	WINNER
Risk	UNLIMITED	DEFINED (capped)	SPREAD
Margin Required	Very High	Low (3-5x spread width)	SPREAD
Prob of Profit	~72-78%	~65-75%	SIMILAR
Return on Margin	6-8%	12-18%	SPREAD
Account Safety	Can blow account	Cannot blow account	SPREAD
Max Profit	Unlimited upside	Limited to credit	NAKED
Black Swan Risk	SEVERE	Limited to spread width	SPREAD
Beginner Friendly	NO	YES	SPREAD

The Golden Rules

DO	DO NOT
+ Always trade in the direction of the trend	- Never sell naked options without a hedge
+ Respect strong support and resistance levels	- Never hold losing spreads emotionally
+ Always buy the hedge — never go naked	- Never oversize your positions

COMPLETE EXECUTION CHECKLIST

PRE-TRADE CHECKLIST (Before Entry)

#	CHECK ITEM	CALL SPREAD	PUT SPREAD	DONE?
1	Market bias clearly identified	Bearish / Neutral	Bullish / Neutral	☐
2	Chart structure confirmed	Resistance identified	Support identified	☐
3	IV level acceptable	Moderate to High IV	Moderate to High IV	☐
4	Expiry selected	Weekly preferred	Weekly preferred	☐
5	SHORT leg (sell) strike selected	At/near resistance	At/near support	☐
6	LONG leg (buy hedge) strike selected	100-200 pts above	100-200 pts below	☐
7	Net credit calculated	Sell premium - Buy premium	Sell premium - Buy premium	☐
8	Max loss calculated	(Width - Credit) x lot	(Width - Credit) x lot	☐
9	Stop loss level defined	1.5x credit as SL	1.5x credit as SL	☐
10	Profit target defined	50-70% premium decay	50-70% premium decay	☐
11	Position size within limits	Risk <= 1-2% capital	Risk <= 1-2% capital	☐
12	Broker margin confirmed	Margin available	Margin available	☐

IN-TRADE MONITORING CHECKLIST

MONITOR	FREQUENCY	ACTION IF BREACH
Premium decay level	Every 30-60 min	Book profit at 50-70%
Price vs sold strike	Every candle	Exit if 15-min closes beyond
IV expansion	Hourly	Reduce size or exit early
Time to expiry	Daily	Close 2-3 days before expiry
Overall market trend	Hourly	Exit if trend reverses strongly
Support/Resistance	Continuous	Exit on confirmed break

POST-TRADE REVIEW CHECKLIST

REVIEW POINT	QUESTIONS TO ASK	DONE?
Entry quality	Was entry timing good? Was bias correct?	☐
Strike selection	Were strikes at proper S/R levels?	☐
Exit quality	Did you exit at target or per plan?	☐
Risk followed	Was SL respected without hesitation?	☐
Lesson learned	What can be improved next trade?	☐



Position Sizing Reference

CAPITAL	MAX RISK/TRADE (2%)	LOTS (approx)	TARGET/MONTH (2%)	TARGET/YEAR (24%)
Rs. 1,00,000	Rs. 2,000	0.5-1 lot	Rs. 2,000	Rs. 24,000
Rs. 2,00,000	Rs. 4,000	1-2 lots	Rs. 4,000	Rs. 48,000
Rs. 5,00,000	Rs. 10,000	2-3 lots	Rs. 10,000	Rs. 1,20,000
Rs. 10,00,000	Rs. 20,000	4-6 lots	Rs. 20,000	Rs. 2,40,000
Rs. 25,00,000	Rs. 50,000	10-15 lots	Rs. 50,000	Rs. 6,00,000

Quick Reference — Trade Flow

STEP	CREDIT CALL SPREAD (Bearish)	CREDIT PUT SPREAD (Bullish)
1. BIAS	Bearish / Neutral Outlook	Bullish / Neutral Outlook
2. CHART	Find Resistance Zone	Find Support Zone
3. SELL	Sell Call at/near Resistance	Sell Put at/near Support
4. BUY	Buy Call 100-200 pts Higher	Buy Put 100-200 pts Lower
5. CREDIT	Collect Net Premium Upfront	Collect Net Premium Upfront
6. THETA	Time Decay Works in Your Favour	Time Decay Works in Your Favour
7. MONITOR	Market must stay BELOW sold call	Market must stay ABOVE sold put
8. EXIT	Exit at 50-70% premium decay / SL	Exit at 50-70% premium decay / SL

This rulebook is for educational purposes only and does not constitute financial advice. Always conduct your own analysis before trading.